TEACHER GUIDE

IB Diploma Programme Business management SL

# Organizational structure

Unit 2: Human resource management
**2.2 Organizational structure**



A revision lesson. Students run a car dealership in firms of four and revise organizational structure on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Matrix team problem

Round 1

Sales, finance and workshop staff form a team to launch a service. Each reports to two managers.

**Which problem is most likely?**

- **A** One manager's span is too narrow
- **B** Too little variety for staff
- **C** Conflicting orders from two bosses
- **D** Less sharing of ideas across teams

**ANSWER**

**✓ Conflicting orders from two bosses**

**Why:** In a matrix staff answer to two managers, whose demands can clash.

## 2 Branch power risks

Round 1

You let branch managers set prices and hire their own staff.

**Which two risks does this change bring?**

- **A** Local managers feel less trusted
- **B** Head office loses some control
- **C** Decisions reach branches slowly
- **D** More decisions go to head office
- **E** Branches charge different prices

**ANSWER**

**✓ Head office loses some control**
**✓ Branches charge different prices**

**Why:** Local decisions are faster, but less consistent and harder to control.

## 3 Rank manager cost

Round 2

Three branches: managers, their pay, and the staff they lead.

**Order by manager pay per staff member, lowest first?**

- **A** 6 managers on £36,000 each, 72 staff
- **B** 3 managers on £45,000 each, 27 staff
- **C** 4 managers on £40,000 each, 40 staff

**ANSWER**

1. **6 managers on £36,000 each, 72 staff**
2. **4 managers on £40,000 each, 40 staff**
3. **3 managers on £45,000 each, 27 staff**

**Why:** £3,000, £4,000 and £5,000 per staff member: wider spans cost less.

# Topic tasks

## 4 Delayering saving

Round 2

You cut a layer of middle managers.

**Net saving in year 1, after all the costs?**

| | |
|---|---|
| Managers removed | **2 staff** |
| Pay of each, a year | **£35,000** |
| One-off redundancy pay, each | **£9,000** |
| Pay rise, each of the 7 who stay | **£2,500** |

**ANSWER**

**£34,500**

2 × (£35,000 − £9,000) − 7 × £2,500 = £34,500

**Why:** Year 1 carries the redundancy pay; the full saving comes from year 2.

## 5 Who sets prices

Round 3

Buyers complain: the same model is cheaper at another of your branches.

**Who should set the prices, and why?**

**A** Head office sets one price for all

**B** Each branch still sets its own prices

**ANSWER**

**✓ Head office sets one price for all**

**Why:** Central pricing makes every branch charge the same.

## 6 Fix slow approvals

Round 3

Branch staff wait days for head office to approve each discount, and they lose sales.

**Which fix fits, with its main risk?**

**A** Decentralize: decisions get slower

**B** Add a layer: spans get wider

**C** Centralize further: slower replies

**D** Decentralize: branch prices may differ

**ANSWER**

**✓ Decentralize: branch prices may differ**

**Why:** Branch decisions are quicker, but each branch may price differently.

# Final questions

Each student answers 6 final questions on organizational structure. They come from these 9 questions.

1. A dealer group gives each branch manager authority over local pricing within a defined margin floor. What organisational change does this describe?
   ✔ **Decentralisation within a controlled decision boundary**

2. A national service network has slow approvals because every local refund must reach head office. Which redesign most directly addresses the delay while retaining control?
   ✔ **Delegate refunds up to a limit; audit exceptions**

3. Branch staff wait two days for head-office approval of routine parts substitutions. Best structural response?
   ✔ **Delegate within safety and cost limits; escalate and audit exceptions**

4. A dealer group lets each branch manager approve courtesy-car bookings up to a set value without contacting head office. Which organisational feature does this describe?
   ✔ **Delegation of authority within defined limits**

5. A dealer group lets each branch manager set trade-in prices locally instead of head office. What is the main risk?
   ✔ **Branch prices and margins vary**

6. After a merger, a workshop manager supervises fourteen technicians instead of six. What has changed, and what is the likely effect?
   ✔ **Wider span: each technician gets less of the manager's attention**

7. A dealer group removes its layer of area managers. Each branch manager now reports straight to the regional director. What happens to the director's span of control?
   ✔ **It widens**

8. A dealer group lets each branch manager set used-car prices for their own local market. What is the main benefit of this decentralisation?
   ✔ **Decisions reflect local conditions and are made faster**

9. Which is a likely drawback of a tall organisational structure in a large dealer group?
   ✔ **Slow communication between senior managers and sales staff**